

AI DATA CENTER

Power & Cooling Revolution

Delta Electronics Growth Story | TMSBU Strategy Insight

CENTER

Power & Cooling Revolution

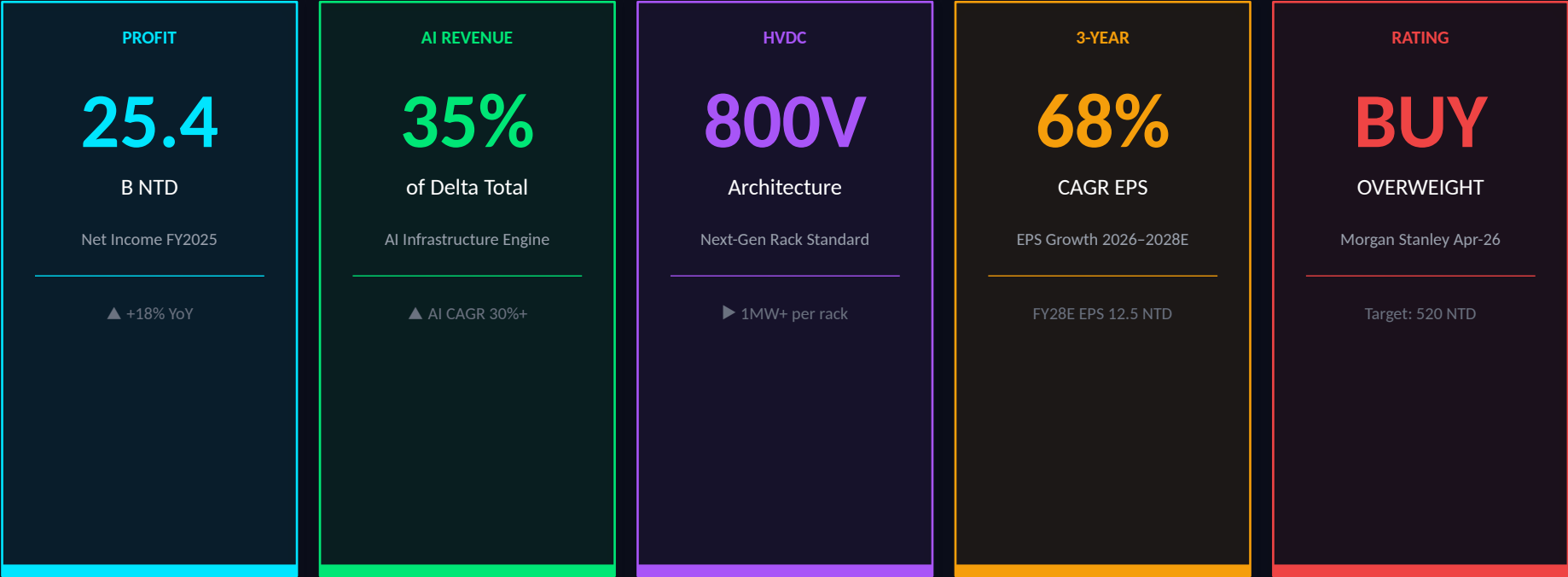
Delta Electronics Growth Story

TMSBU Strategy Insight



Executive Summary — Five Key Conclusions

Delta AI Infrastructure: From Power Leader to AI Platform

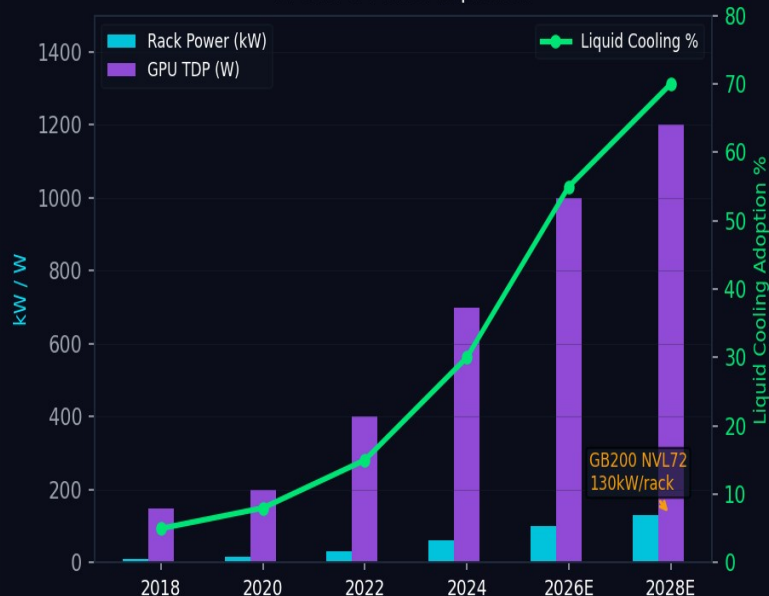


AI Market Trends — Rack Power Density Inflection

03

GPU TDP: 150W → 1,000W+ | Rack Power: 10kW → 130kW | Liquid Cooling: 5% → 70%

AI Server Power Explosion



Key Inflection Points

1,000W+

Next-Gen GPU TDP

130kW

Rack Power (NVL72)

\$12.8B

AI Thermal TAM 2028E

1,000W+

Next-Gen GPU TDP

130kW

NVL72 Rack Power

\$12.8B

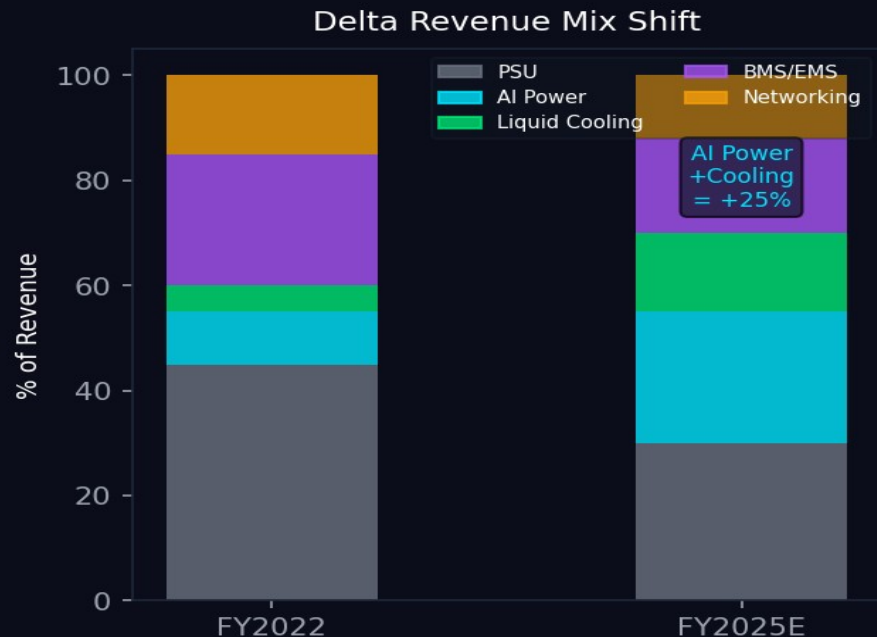
AI Thermal TAM

KEY INSIGHTS

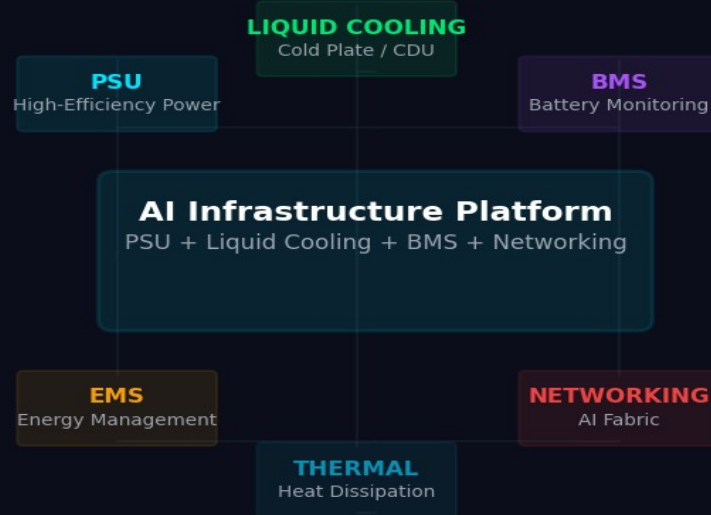
- GB200 NVL72 delivers 130kW/rack — 4x density of H100 generation
- Liquid cooling adoption accelerates: 30% (2024) → 70% (2028E)
- HVDC 800V architecture enables >1MW rack — emerging industry standard

Platform

PSU + Liquid Cooling + BMS + Networking = Full AI Stack



Delta AI Infrastructure Platform



KEY INSIGHTS

- AI power + cooling revenue: <15% (2022) → 40%+ (2025E) of Delta total
- Delta's PSU leadership → platform play: bundling power + thermal = higher ASP + margin
- NVIDIA GB200 platform qualification positions Delta for >30% of AI server infrastructure content

Power

From 400V AC → 800V HVDC → Native AI Rack Integration

HVDC Architecture: 800V >1MW Rack Power System



800V HVDC | 1MW+ per rack | 96%+ efficiency | ≤50kA short circuit | IEC 61803 compliant

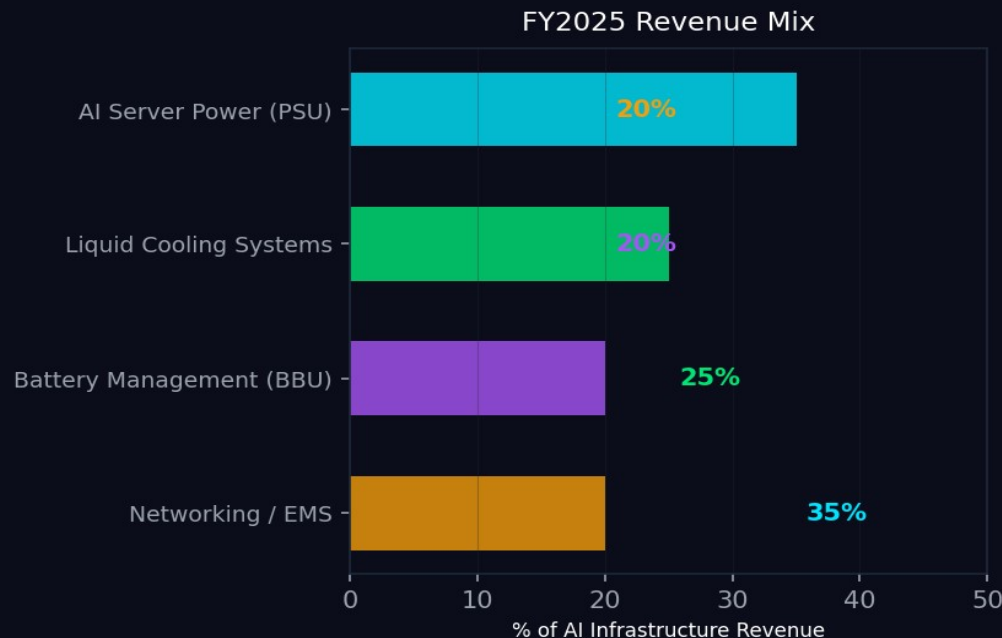
Benefits ▶ 50% fewer bus bars ▶ 40% space saved ▶ Native for AI rack integration

KEY INSIGHTS

- 800V HVDC reduces bus bar material 50%, increases efficiency to 96%+
- 1MW+ rack power class eliminates complex multi-rack power distribution
- Delta's HVDC expertise = strategic moat for next-gen AI server platforms

Revenue Mix

Component → Module → System → Solution | Gross Margin 25% → 40%+



High-Margin Revenue Sources

40%+

Liquid Cooling
Gross Margin

35%

AI PSU
Premium Tier

30%+

BBU / BMS
Systems

25%

Services &
AMC Model

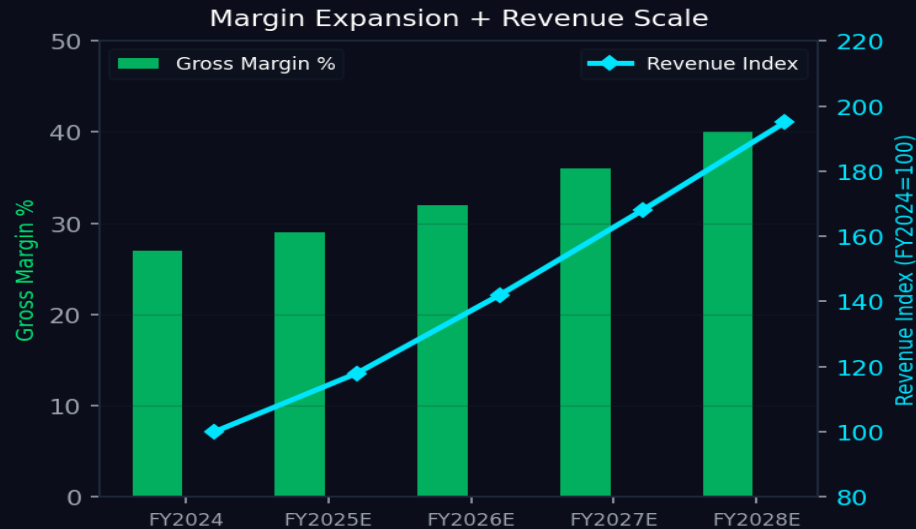
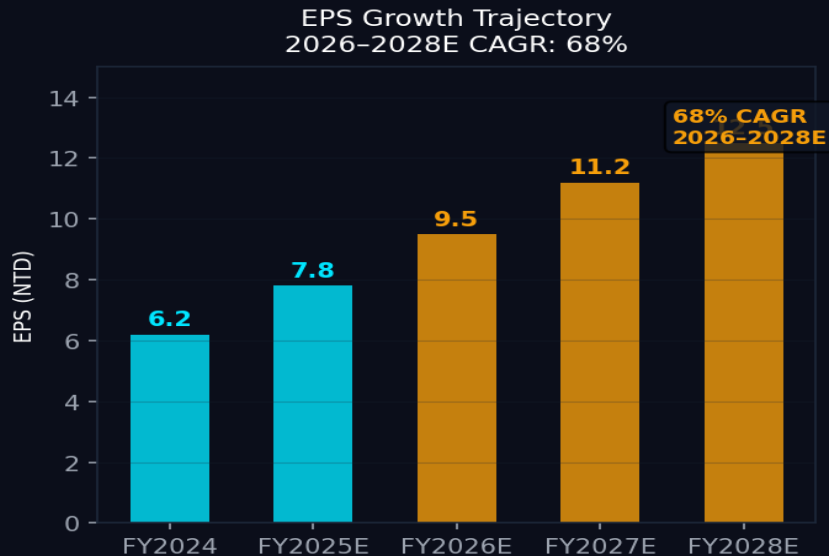
Shift from Component → System
◆ Bundle PSU + Cooling = Higher Margin
◆ AMC Model = Recurring Revenue
◆ Solution Package = Competitive Moat

KEY INSIGHTS

- Liquid cooling: highest gross margin at 40%+, fastest growing segment
- Bundling PSU + cooling → higher ASP, deeper customer lock-in
- AMC (Aftermarket & Maintenance) model = recurring revenue stream

Expansion to 40%

FY2024 → FY2028E: Revenue Scale + Margin Expansion = Structural Uplift



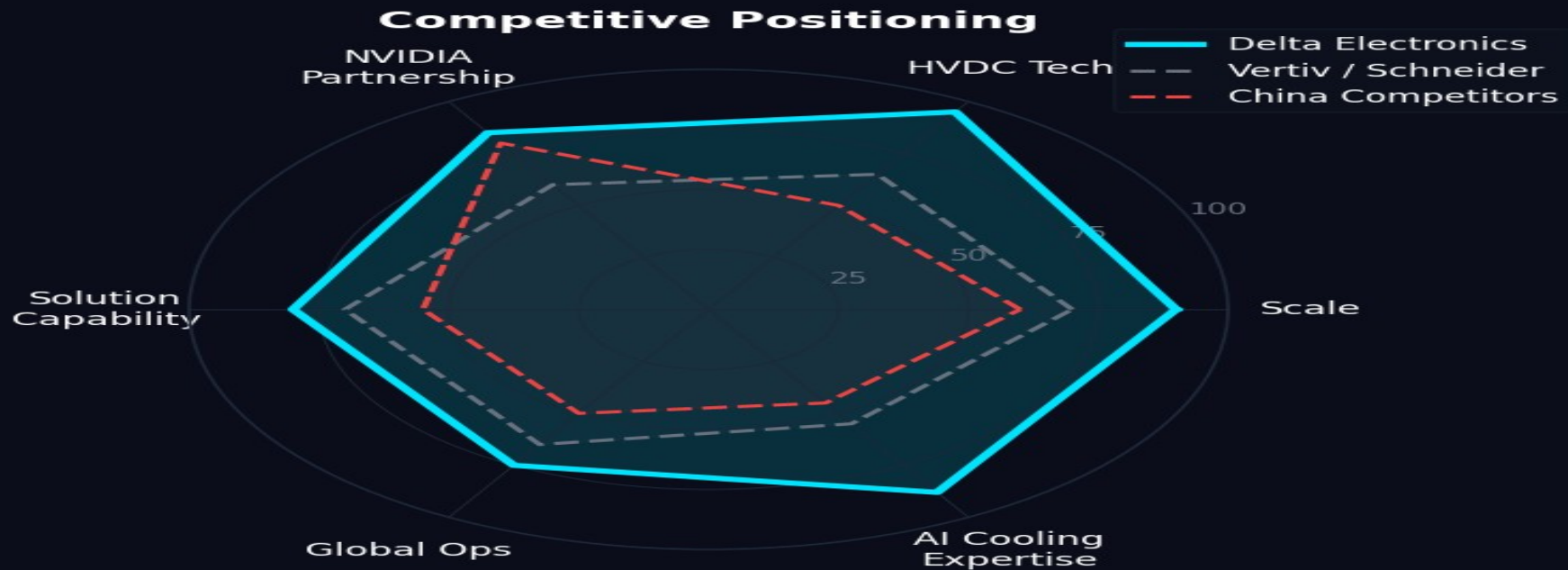
KEY INSIGHTS

- EPS: 6.2 NTD (FY2024) → 12.5 NTD (FY2028E), 68% CAGR — driven by AI infrastructure ramp
- Gross margin: 27% → 40% by FY2028 — mix shift to liquid cooling + system solutions
- Revenue index: FY2024=100 → FY2028=195 — 2x revenue scale in 4 years

Competitive Advantages — Delta vs. Global Players

08

HVDC Technology + NVIDIA Partnership + AI Cooling Expertise = Structural Moat



KEY INSIGHTS

- Delta vs. Schneider/Vertiv: Leading in HVDC tech, AI cooling expertise, NVIDIA partnership
- vs. China competitors: Global ops + quality + NVIDIA qualification = premium positioning
- Platform integration: Only Delta offers PSU + cooling + BMS + EMS in one platform

Items

AI Cycle Volatility | Customer Concentration | China Competition



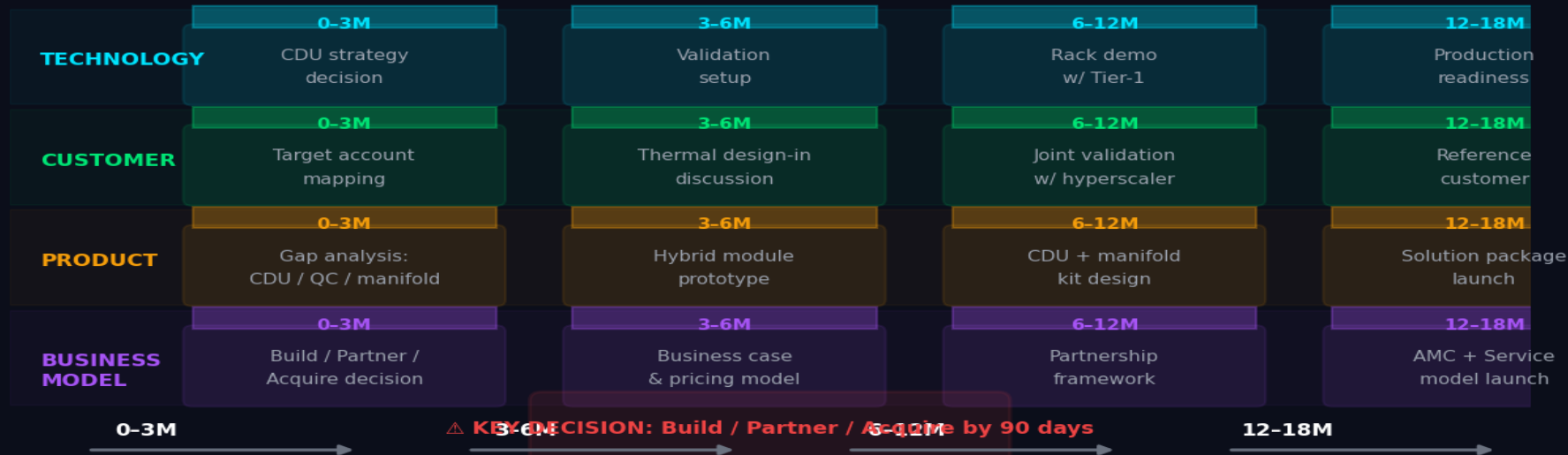
KEY INSIGHTS

- HIGH: AI capex cycle — monitor hyperscaler spending signals quarterly
- HIGH: Customer concentration — NVIDIA/Google >50% of AI power revenue
- HIGH: China competition — cost-based pricing pressure on standard PSU products

→ Solution

Build/Partner/Acquire Decision within 90 Days | Tier-1 Joint Validation by 6-12 Months

TMSBU Strategic Roadmap 2026-2028



KEY INSIGHTS

- Technology: CDU strategy decision (Build / Partner / Acquire) within 90 days
- Customer: Thermal design-in with 2+ hyperscalers by 6 months, joint validation by 12 months
- Business Model: AMC + Service model launch by Month 18 — recurring revenue transformation